

Federal Maritime Commission

Docket No. 19-09

VERTERRA LTD.

COMPLAINANT,

V.

D.B. GROUP AMERICA LTD. and

D.B. GROUP INDIA LTD.

RESPONDENTS.

**RESPONDENTS' MEMORANDUM OF LAW IN SUPPORT OF MOTION TO DISMISS, OR IN THE
ALTERNATIVE, MOTION TO STAY THE PROCEEDINGS**

Respondents, D.B. GROUP AMERICA LTD. ("D.B. America") and D.B. GROUP INDIA LTD. ("D.B. India") (collectively, "D.B. Group" or "Respondents"), by and through their undersigned counsel, file this memorandum of law in support of Respondents' Motion to Dismiss, or in the alternative, Motion to Stay Proceedings.

This case should be dismissed, or at a minimum, stayed. Petitioner irrevocably consented to the jurisdiction of the courts in New York, and Petitioner voluntarily invoked the jurisdiction of the New York State courts by filing a counterclaim in that court in June of 2019 that is entirely duplicative of the claims raised in Petitioner's Verified Complaint. Petitioner must not be permitted to pursue the identical claim against the same party in two different forums. Alternatively, this case should be, at a minimum, stayed in favor of the prior pending state court proceeding in New York, and Respondents respectfully submit that all of the factors relevant to an application for a stay support granting Respondents' motion.

I. FACTUAL AND PROCEDURAL BACKGROUND

D.B. America is a Non-Vessel Operating Common Carrier ("NVOCC") and Ocean Freight Forwarder licensed by the U.S. Federal Maritime Commission (License No. 019266) that provides international shipping and logistics to its customers worldwide. D.B. India is a foreign, registered NVOCC (Reg. No. 024919). See Exhibit 1, New York Verified Complaint at ¶ 9. On or about May 19, 2016, Michael Dwork, President of VerTerra, submitted a Credit Application and a Personal Guaranty in favor of VerTerra. *Id.* ¶11. The terms of the Credit Application explicitly state that all transactions are governed by the laws of the State of New York "...and applicant agrees to the personal jurisdiction of the State of New York." See Ex. 1 at Ex. A, VerTerra Credit Application.

VerTerra also executed a Power of Attorney granting D.B. America limited rights as its agent and to execute necessary import and customs documents for VerTerra. The Terms and Conditions of Service attached to the Power of Attorney clearly defines the parties' respective rights and obligations. See Exhibit 2, Power of Attorney and Terms and Conditions of Service ("Terms and Conditions"). The Terms and Conditions specify New York as the choice of governing law and the parties "(a) irrevocably consent to the jurisdiction of the United States District Court and the State courts of New York; (b) agree that any action relating to the services performed by Company, shall only be brought in said courts; (c) consent to the exercise of in personam jurisdiction by said courts over it, and (d) further agree that any action to enforce a judgment may be instituted in any jurisdiction." Ex. 2 ¶ 21.

Based upon the Credit Application and Personal Guaranty, D.B. America extended credit to VerTerra and began to perform shipping and/or logistics services for VerTerra in May 2016. Ex. 1 ¶ 12. VerTerra was a customer of D.B. Group from May of 2016 through December 2018. *Id.* ¶ 10. Beginning in April of 2018, VerTerra began to fall behind in paying its invoices. As of December 31, 2018, VerTerra

owed to D.B. Group \$46,529.86, exclusive of interest, for unpaid invoices. *Id.* ¶ 13. D.B. Group made a written demand for payment of the outstanding invoices, and VerTerra refused to pay. *Id.* ¶¶ 16-17.

On March 7, 2019, D.B. Group America, Ltd. filed a Verified Complaint against VerTerra Ltd. and Michael Dwork in New York State Supreme Court, New York County, Index No. 651402/2019 (“New York Action”) asserting causes of action for breach of contract, unjust enrichment, and quantum meruit and seeking to recover the outstanding amounts due of \$46,529.86 plus interest, costs and attorneys’ fees. See Exhibit 1. D. B. America commenced a lawsuit in New York because both parties are New York Corporations and VerTerra agreed under the terms of the Credit Application and the Terms and Conditions that all transactions are governed by the laws of the State of New York and that both parties irrevocably consent to the jurisdiction of the courts in the State of New York.

On June 28, 2019, in response to the Complaint, VerTerra and Mr. Dwork invoked the jurisdiction of the New York state court and asserted a number of counterclaims, including but not limited to an unjust enrichment counterclaim couched in alleged violations of The Shipping Act by D.B. Group. See Exhibit 3, VerTerra’s Answer & Counterclaims, at ¶¶ 43-57. VerTerra specifically alleges in the New York Action the identical allegations made in the complaint it filed with the FMC:

50. D.B. Group America and its affiliates who provided services to VerTerra violated the 46 USC § 40501 by failing to post tariffs for the commodities and lanes it serviced on behalf of VerTerra for all the shipments it handled on behalf of VerTerra from June of 2016 until December of 2018.

51. Moreover, neither D.B. Group America nor any other affiliated D.B. Group entity entered into any Negotiated Rate Arrangement (NRA) with or Negotiated Service Arrangement (NSA) with VerTerra.

52. Upon information and belief, D.B. Group America and its affiliated D.B. Group entities were charging VerTerra in excess of its published tariffs in violation of 46 USC § 40501, 46 USC § 41104(2) and 46 USC 41104(4).
...

56. As a result of charging VerTerra unapproved rates in excess of those published in the applicable tariff in violation of the terms of the Shipping Act, D.B. Group America was illegally and unjustly enriched at VerTerra's expense.

57. Equity and good conscience requires restitution be made by D.B. Group America to VerTerra in the amount to be proven at trial, but not less than \$200,000.00.

Ex. 3 at ¶¶ 50-52 & 56-57. In addition, VerTerra raises as its Twelfth Affirmative Defense that "Plaintiff's actions are in violation of Federal Maritime Regulations and provisions of the Shipping Act governing the same." *See id.* at page 6. VerTerra answered the Complaint, does not raise jurisdiction as a defense, and affirmatively makes a claim for a Shipping Act violation in the New York Action.

II. PETITIONER CANNOT STATE A CLAIM FOR RELIEF BECAUSE PETITIONER IRREVOCABLY CONSENTED TO JURISDICTION IN NEW YORK.

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions to dismiss, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure ("Federal Rules") will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. Choice of forum based on the parties' forum selection clause may be enforced through a motion to dismiss. *Ujvari v. 1stdibs.com, Inc.*, No. 16 Civ. 2216 (PGG), 2017 WL 4082309, at *5 (S.D.N.Y. 2017). Such a motion may be premised on a failure to state a claim pursuant to Fed. R. Civ. P. 12 (b)(6). *Id.* (citing *Evolution Online Sys., Inc. v. Koninklijke PTT Nederland N.V.*, 145 F.3d 505, 508 n. 6 (2d Cir. 1998)).

To enforce a forum selection clause, a court must determine whether (1) the clause was "reasonably communicated to the party resisting enforcement," (2) the clause was "mandatory or permissive" and (3) the claims and the parties involved in the suit are subject to the clause. *Martinez v. Bloomberg LP*, 740 F.3d 211, 217 (2d Cir.2014). "If the forum clause was communicated to the resisting party, has mandatory force and covers the claims and parties involved in the dispute, it is presumptively

enforceable.” *Atl. Marine Const. Co. v. U.S. Dist. Court for W. Dist. of Texas*, 134 S. Ct. 568, 580 (2013) (quoting *Phillips v. Audio Active Ltd.*, 494 F.3d 378, 383–84 (2d Cir.2007)). A party can overcome the presumption of enforceability only by “making a sufficiently strong showing that enforcement would be unreasonable or unjust, or that the clause was invalid for such reasons as fraud or overreaching.” *Martinez*, 740 F.3d at 217 (citing *Phillips*, 494 F.3d at 383).

The forum selection clauses in both the Credit Application and the Terms and Conditions are presumptively enforceable. First, it was reasonably communicated to VerTerra as it was written in “clear and unambiguous language” on both the Credit Application and the Terms and Conditions in separate stand-alone paragraphs in both documents. *See Gasland Petroleum, Inc. v. Firestream Worldwide, Inc.*, No. 14 Civ. 597, 2015 WL 2074501, at *5 (N.D.N.Y. May 4, 2015) (A forum selection clause may be deemed “reasonably communicated” where “[t]he clause at issue ... appear[s] as a standard section in the main body of [an] [a]greement signed by [plaintiff] and is phrased in both clear and unambiguous language.”).

Second, the forum selection clause is mandatory rather than permissive. “A forum selection clause is considered mandatory where: (1) ‘it confers exclusive jurisdiction on the designated forum’ or (2) ‘incorporates obligatory venue language.’” *Global Seafood Inc. v. Bantry Bay Mussels Ltd.*, 659 F.3d 221, 225 (2d Cir. 2011) (quoting *Phillips*, 494 F.3d at 386). The forum selection clause provides that “any action related to the services performed by the Company” would be brought only in the District Court and State Courts of New York and both Customer and Company “irrevocably consent” to the jurisdiction of the District Court and State Courts of New York. Ex. 2 at ¶ 21. It confers both exclusive jurisdiction and obligatory venue language and, is therefore, mandatory.

Third, this action, relates to the “services performed by the Company,” involves both D.B. Group America Ltd. and VerTerra, and is relevant to the claims raised by VerTerra in this action. Accordingly, the forum selection clause is presumptively enforceable, and dismissal of this action is warranted on this basis

alone. *See, e.g., Ujvari*, 2017 WL 4082309, at *11 (granting motion to dismiss based on forum selection clause); *Amtco, LLC v. Bedford Asset Management, LLC*, 168 F. Supp. 3d 556 (S.D.N.Y. 2016) (granting dismissal of claims, including counterclaims and defenses arising out of the same transaction, based on forum selection clause requiring claims to be heard in the High Court of London).

III. PETITIONER CANNOT STATE A CLAIM FOR RELIEF BECAUSE PETITIONER AFFIRMATIVELY INVOKED THE NEW YORK STATE COURT'S JURISDICTION BY ASSERTING COUNTERCLAIMS.

As set forth above, VerTerra invoked the jurisdiction of the New York State courts on June 28, 2019 when it filed its counterclaim against D.B. Group in the New York Action. It affirmatively seeks monetary recovery based on an unjust enrichment claim founded on alleged violations of the Shipping Act. *See* Ex. 3 at ¶¶ 50-52 & 56-57. In addition, VerTerra asserted the Federal Maritime Regulations and Shipping Act as an affirmative defense. *See id.* VerTerra, however, did not raise jurisdiction as a defense and did not argue that the New York Courts did not have jurisdiction over the claims and defense asserted in the New York Action.

The general rule in New York is clear; "...the court which has first taken jurisdiction is the one in which the matter should be determined, and it is a violation of the rules of comity to interfere." *City Trade & Indus., Ltd. v. New Cent. Jute Mills Co.*, 250 N.E.2d 52, 25 N.Y.2d 49, 58-59 (Ct. App. 1969). "Where two courts have concurrent jurisdiction over an action involving the same parties and issues, courts will follow a 'first filed' rule whereby the court which first has possession of the action decides it." *Clarendon Nat'l Ins. Co. v. Pascual*, 99 Civ. 10840, 2000 WL 270862 at *7 (S.D.N.Y. Mar. 13, 2000); *see also Schuehle v. Reiman*, 86 N.Y. 270, 273 (N.Y. Ct. App. 1881) ("It would seem also that if both tribunals, whose interference has been invoked, have equal or concurrent jurisdiction, it should continue to be exercised by that one whose process was first issued.").

D.B. Group has the right to elect to pursue a common law remedy by civil action in state court because the federal district courts “do not have original and exclusive jurisdiction in all civil admiralty or maritime litigation.” *Triomphe Disc Corp. v. Chilean Line*, 93 A.D.2d 228, 461 N.Y.S.2d 325, 326 (1st Dep’t 1983). “The ‘saving to suitors’ clause, originally enacted as part of the Judiciary Act of 1789, which read ‘saving to suitors, in all cases, the right of a common law remedy, where the common law is competent to give it’, reserves concurrent jurisdiction to state courts for the utilization of common law remedies, where applicable, to maritime claims.” *Id.* (citing *Romero v. International Terminal Operating Co.*, 358 U.S. 354, 362, 79 S.Ct. 468, 474, 3 L.Ed.2d 769; *Red Cross Line v. Atlantic Fruit Co.*, 264 U.S. 109, 123–124, 44 S.Ct. 274, 276–277, 68 L.Ed. 582). Applying these principles, the court in *Triomphe* reversed the lower court’s decision dismissing the complaint for lack of subject matter jurisdiction and holding that the New York state court had jurisdiction on alleged freight overcharges. *Id.* at 327. The court in *Triomphe* held that the Shipping Act was “permissive” in terms of providing that any person “may file” a Complaint before the Commission but that there was no requirement to exhaust administrative remedies before the Federal Maritime Commission. *Id.* The court further stated that “where the technical expertise and special discretion of the Commission are not otherwise required,” a state court is competent to make a determination of a “non-technical nature based on an uncomplicated set of facts.” *Id.*

The New York court has concurrent jurisdiction with the FMC. The New York court assumed jurisdiction first based both on the agreement of the parties and the actions of VerTerra availing itself of the jurisdiction of New York. In accordance with principles of comity and judicial economy, VerTerra’s Verified Complaint should be dismissed in favor of the prior pending New York Action.

IV. ALTERNATIVELY, THIS CASE SHOULD BE STAYED BECAUSE PETITIONER INVOKED THE JURISDICTION OF THE NEW YORK STATE COURTS.

The factors relevant to a motion to stay the pending outcome of another proceeding include “which court first assumed jurisdiction, the inconvenience of the federal forum, the desirability of avoiding

piecemeal litigation, whether state or federal law provides the rule of decision on the merits, the adequacy of the state court to protect the parties' rights, and whether one of the actions has a vexatious or reactive nature." *General Motors LLC v. Nipon Yusen Kabuishiki Kaisha et al.*, No. 15-08, Federal Maritime Commission (Jan 5, 2016) (citing *Profile Manufacturing, Inc. v. Ronald Kress*, 1994 U.S. App. LEXIS 6048, at *7 (Fed. Cir. 1994)).

A. New York Action is the First-Filed Action

As set forth above, Respondents initiated an action in New York state court to recover monies earned and not paid pursuant to the Parties' contractual relationship. As set forth on the Credit Application and the Terms and Conditions, the parties irrevocably consented to the jurisdiction of the district court and state courts in New York of any action relating to the services performed by D.B. Group. See Ex. 1 at Ex. A; Ex. 2 at ¶ 21. Accordingly, D.B. Group initiated an action against VerTerra in New York in March of 2019 when VerTerra refused to pay the balance due on invoices for services rendered. On June 28, 2019, VerTerra did not move to dismiss the action and it did not move to transfer the action to the FMC. Rather, VerTerra filed a Verified Answer and Counterclaims wherein it asserted claims against D.B. Group based upon alleged violations of the Shipping Act. The New York court, which has concurrent jurisdiction over the claims asserted, is the first-filed action and warrants stay of this case. See, e.g., *Signal International, LLC v. LeTourneau, Inc.*, No. H-07-2915, 2008 WL 239655 (S.D. Tex Jan. 29, 2008) (staying action of earlier filed case).

B. New York Forum is the More Convenient Forum

The New York forum is the more convenient forum because New York clearly has an overwhelming nexus to this controversy. Plaintiff D. B. Group America Ltd. is a New York Corporation with its principal place of business located at 150-30 132nd Avenue, Unit G, Suite 307, Jamaica, New York. See Ex. A ¶ 1. Respondent is also a New York corporation with its principal place of business located at 548

Eighth Avenue, Suite 810, New York, New York. *See id.* ¶ 3. New York is the location of both parties' corporate headquarters, and upon information and belief, the officers and individuals with knowledge of the claims and defenses in this dispute are located in New York. In addition, the Credit Application and Terms and Conditions signed by Respondents agrees to personal jurisdiction in New York. This factor supports a stay in favor of the New York Action.

C. A Stay in the FMC Action Avoids Piecemeal Litigation

If the parties are required to simultaneously litigate the same issues before the New York court and before the FMC, duplicative litigation will result. The factual allegations of the complaint filed in the FMC action are the same as the allegations contained in Petitioner's unjust enrichment counterclaim in the New York Action. This factor, therefore, favors a stay. *See In re Groupon Derivative Litigation*, 882 F. Supp. 2d 1043 (N.D. Ill. 2012) (staying action in part to avoid piecemeal litigation and attendant burdens on courts and litigants).

D. Law Providing Rule of Decision on Merits

The Parties have agreed that New York law governs the relationship between the Parties, and that all claims relating to the services performed by the Company are to be venued in the district or state courts of New York. The New York courts are competent to determine D.B. Group's claims for unpaid invoices, and VerTerra's claims that D.B. Group's violations of the Shipping Act entitle VerTerra to the relief it seeks. These are claims of a non-technical nature that do not require the expertise of the Federal Maritime Commission, and jurisdiction in the state courts are concurrent on these types of claims. *See Triomphe Disc Corp. v. Chilean Line*, 93 A.D.2d 228, 461 N.Y.S.2d 325, 326 (1st Dep't 1983). This factor favors the grant of the stay.

E. Adequacy of Forum to Protect Parties' Rights

The New York Action has before it all claims and defenses raised by both D.B. Group and VerTerra. D. B. Group's claims for non-payment, however, are not pending before the FMC. The New York courts are in a better position to more fully evaluate the parties claims, and this factor also favors a stay.

F. The FMC Action is Vexatious and Reactive in Nature.

Petitioner filed the FMC action in response to the New York Action, and upon information and belief, in an effort to avoid paying for fees duly owed to D. B. Group. To the extent Petitioner claims that it filed the FMC action as a protective action to preserve the statute of limitation for claims it has under the Shipping Act, then such a filing supports stay of this action. *See PDL Biopharma, Inc. v. Sun Pharmaceutical Industries, Ltd.*, No. 07-11709, 2007 WL 2261386, at *2 (E.D. Mich. Aug. 6, 2007) (staying second-filed protective action).

G. A Stay will Benefit the Public, the Courts and Simplify the Issues.

The parties will benefit from a stay by avoiding costly and time-consuming duplicative litigation. The public interest will likewise benefit from a stay because the time and resources of the New York court and the FMC will not be consumed by duplicative litigation. It is inefficient and wasteful to consume the time and resources of the Commission in this action when the exact same claim is pending before the New York court. In addition, a stay will simplify the issues because the New York state court's decision on VerTerra's unjust enrichment claim could eliminate the need for the FMC Action. *See Saipan Shipping Co., Inc. v. Asiatic Intermodal Seabridge, S.A.*, 19 S.R.R. 900 (ALJ 1979) (granting stay where decision in parallel proceeding was likely to either "eliminate the need for a determination of the issues in this proceeding" or have a "strong and direct bearing on the issues in this case").

Accordingly, since New York was the first-filed action, the parties are New York-based companies, New York is a more convenient forum, the Credit Application and Terms and Conditions are governed by New York law, and the New York court is fully capable of applying the Shipping Act to address VerTerra's claim, Respondents respectfully request that its motion for stay be granted.

CONCLUSION

For the foregoing reasons, Respondents respectfully request that this Motion to Dismiss, or in the alternative, Motion to Stay Proceedings be granted, and that your Honor enter an Order dismissing the Verified Complaint with prejudice and/or staying this action.

Undersigned counsel, per 46 C.F.R. § 502.2 (f)(3), certifies that this e-filed copy is a true and correct copy of the paper original, and that the paper signed original and five (5) copies are being filed with the Secretary of the Commission.

Respectfully submitted this, the 13th day of January, 2020.

REISMAN, RUBEO & ALTMAN, LLP



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CERTIFICATE OF SERVICE

I hereby certify that I have this 13th day of January 2020, served a copy of the foregoing motion and supporting papers upon all parties by electronic mail.



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Exhibit 1

SUPREME COURT OF THE STATE OF NEW YORK
COUNTY OF NEW YORK-----X
D.B. GROUP AMERICA LTD,

Plaintiff,

SUMMONS

- against -

Index No.:

VERTERRA LTD and MICHAEL DWORK,

Plaintiff designates New York
County as the place of trial.

Defendants.

The basis of venue is:
Defendants' Place of Business-----X
To the above named Defendants:

YOU ARE HEREBY SUMMONED to answer the complaint in this action and to serve a copy of your answer on Plaintiff's Attorneys within twenty (20) days after the service of this summons, exclusive of the day of service, where service is made by delivery upon you personally within the State of New York, or within thirty (30) days after completion of service where service is made in any other manner. In case of your failure to appear or answer, judgment will be taken against you by default for the relief demanded in the complaint.

Defendants' AddressVerTerra Ltd.
548 8th Avenue, Suite 810
New York, New York 10018Michael Dwork
300 E. 75th Street
New York, New York 10021Dated: Hawthorne, New York
March 6, 2019

Yours, etc.

REISMAN, RUBEO & ALTMAN, LLP


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SUPREME COURT OF THE STATE OF NEW YORK
COUNTY OF NEW YORK

-----X
D.B. GROUP AMERICA LTD,

Index No. _____

Plaintiff,

VERIFIED COMPLAINT

-against-

VERTERRA LTD and MICHAEL DWORK,

Defendants.
-----X

Plaintiff, D.B. GROUP AMERICA LTD, by its attorneys, REISMAN, RUBEO & ALTMAN, LLP, complaining jointly and severally of the Defendants VERTERRA LTD and MICHAEL DWORK, alleges as follows:

THE PARTIES

1. At all times relevant herein, Plaintiff D.B. GROUP AMERICA LTD ("D.B. GROUP" or "Plaintiff") is and has been a New York Corporation with its principal place of business located at 150-30 132nd Avenue, Unit G, Suite 307, Jamaica, New York.

2. At all times relevant herein, D.B. GROUP was and is an international logistics corporation providing a variety of services including air and ocean freight transportation, ground transportation, warehousing, distribution and supply-chain management.

3. Upon information and belief, at all times relevant herein, Defendant VERTERRA LTD ("VERTERRA") is and has been a New York corporation with its principal place of business located at 548 Eighth Avenue, Suite 810, New York, New York.

4. Upon information and belief, VERTERRA is a retail and wholesale seller of dinnerware products.

5. Upon information and belief, at all times relevant herein, Defendant MICHAEL DWORK ("DWORK") is and has been the President of Defendant VERTERRA.

6. Upon information and belief, DWORK is a resident of the State of New York, County of New York.

JURISDICTION AND VENUE

7. Jurisdiction is proper in this Court pursuant to C.P.L.R. § 301, as D.B. Group is a New York Corporation and, upon information and belief, Defendant VERTERRA is a New York corporation that maintains its principal place of business in New York, and, upon further information and belief, Defendant DWORK resides in the State of New York. Jurisdiction is also proper because Defendants agreed in the Credit Application and Personal Guarantee to personal jurisdiction within the State of New York.

8. Venue is proper in this Court pursuant to C.P.L.R. § 503, because, upon information and belief, VERTERRA'S principal place of business is in New York County, and DWORK resides in New York County.

BACKGROUND

9. D.B. GROUP is in the business of providing international shipping and logistics services to its customers worldwide.

10. At all relevant times herein, VERTERRA was a customer of D.B. GROUP.

11. On or about May 19, 2016, DWORK submitted a Credit Application to D.B. GROUP, annexed hereto and incorporated herein as *Exhibit A* (redacted to remove reference to DWORK's social security number), and also signed a Personal Guarantee in favor of D.B. GROUP, in which DWORK agreed to the following:

IN CONSIDERATION OF THE SALE OF SERVICE AND/OR MERCHANDISE AND THE GRANTING OF CREDIT OF D.B. GROUP AMERICA LTD, THE PERSON(S) OR COMPANY TO WHOM CREDIT IS EXTENDED PRUSUANT TO THE ABOVE APPLCATION FOR CREDIT, THE UNDERSIGNED UNCONDITIONALLY, JOINTLY AND SEVERALLY, GUARANTEE(S) PAYMENT OF ALL PURCHASES, MADE BY SAID PERSON(S) OR COMPANY. IT IS

FURTHER UNDERSTOOD THAT THIS GUARANTEE SHALL BE A CONTINUING AND IRREVOCABLE GUARANTEE BINDING THE GUARANTOR(S) TO PAY ON DEMAND ANY BALANCE DUE, INCLUDING ALL COSTS OF COLLECTION AND REASONABLE ATTORNEYS' FEES, WHICH MAY BECOME DUE BY THE PERSON OR COMPANY WHENEVER THE PERSON OR COMPANY SHALL FAIL TO PAY THE SAME WITHIN 60 DAYS. I UNDERSTAND THAT IN SIGNING THIS APPLICATION, I AM NOT BINDING THE ENTITY OF WHICH I AM OFFICER, AND I ASSURE PERSONAL LIABILITY FOR ALL THE PAYMENTS AND COSTS CONTAINED IN THIS CREDIT APPLICATION. I HEREBY WAIVE THE FOLLOWING (1) ANY RIGHT OF PRESENTMENT, (2) ANY NOTICE OF DEFAULT (3) THE PERSONAL JURISDICTION OF THE STATE OF NEW YORK; AND (4) ANY NOTICE OF NONPAYMENT. GUARANTOR CONFIRMS THAT THIS GUARANTY IS ABSOLUTE AND UNCONDITIONAL AND IS A GUARANTY OF PAYMENT AND NOT OF COLLECTION. THE GUARANTOR HEREBY WAIVES ANY CLAIM OR ANY DEFENSE, COUNTERCLAIM SET-OFF OR OTHER OBJECTION OF ANY KIND TO THE SUIT, ACTION OR PROCEEDING AT LAW, IN EQUITY, OR OTHERWISE, OR TO ANY DEMAND OR CLAIM THAT MAY BE INSTITUTED OR MADE UNDER AND BY VIRTUE OF THE GUARANTY. THIS GUARANTY MAY NOT BE CHANGED OR TERMINATED ORALLY THE USE OF A CORPORATE TITLE IS ONLY TO IDENTIFY MY POSITION IN THE COMPANY AND IN NO WAY NEGATES MY PERSONAL GUARANTEE.

12. Based upon the foregoing Credit Application and Personal Guarantee, D.B. GROUP extended credit to VERTERRA and performed shipping and/or logistics services for VERTERRA.

13. Beginning in April 2018, VERTERRA fell behind in paying for services rendered by D.B. GROUP, such that, as of December 31, 2018, there was a balance due and owing for unpaid invoices in the total amount of \$46,529.86, exclusive of interest.

14. A Statement of Account, dated December 31, 2018, setting forth each of these unpaid invoices, is annexed hereto as *Exhibit B* and incorporated herein by reference. The unpaid invoices, as referenced in the Statement of Account, were billed between April 20, 2018 and December 19, 2018.

15. The Credit Application signed by DWORK on behalf of VERTERRA states that "CREDIT APPLICANT AGREES TO PAY ALL COSTS OF COLLECTION, INCLUDING COURT COSTS AND ATTORNEY FEES."

16. D.B. GROUP, while not required to do so, has made written demand of VERTERRA and DWORK for immediate full payment of the outstanding balance owed by VERTERRA.

17. VERTERRA and DWORK have refused and/or failed to pay any amount of the outstanding balance to D.B. GROUP.

18. There remains a balance due and owing to D.B. GROUP in the amount of \$46,529.86, plus interest.

AS AND FOR A FIRST CAUSE OF ACTION FOR BREACH OF CONTRACT

19. Plaintiff repeats and realleges each and every allegation set forth in Paragraphs 1 through 18 as if more fully set forth herein.

20. VERTERRA and DWORK, as personal guarantor, entered into a series of valid contracts for logistics and shipping services provided by D.B. GROUP.

21. D.B. GROUP duly performed pursuant to the terms of the contracts by providing logistics and shipping services to VERTERRA.

22. D.B. GROUP promptly sent VERTERRA invoices for each and every service performed by D.B. GROUP for VERTERRA.

23. By failing to pay said invoices, VERTERRA breached its contracts with D.B. GROUP.

24. By virtue of the Guarantee executed by DWORK, DWORK is jointly and severally liable with VERTERRA for VERTERRA'S breach of contract.

25. By reason of the foregoing, VERTERRA and DWORK are jointly and severally liable to D.B. GROUP in the amount of \$46,529.86, plus interest from the date each payment was due and payable, such interest to be determined upon trial of this action, plus an award of costs and reasonable attorneys' fees.

AS AND FOR A SECOND CAUSE OF ACTION FOR UNJUST ENRICHMENT

26. Plaintiff repeats and realleges each and every allegation set forth in Paragraphs 1 through 25 as if more fully set forth herein.

27. One or more of the Defendants received labor and services provided by Plaintiff, and Defendants have received a substantial benefit from the labor and services provided by Plaintiff.

28. By reason therefore, one or more of the Defendants has been unjustly enriched and has failed to fully compensate the Plaintiff for same, such that there remains a balance due and owing of \$46,529.86, plus interest from the date each payment was due and payable, such interest to be determined upon trial of this action.

29. By virtue of the Guarantee executed by DWORK, DWORK and VERTERRA are jointly and severally liable to Plaintiff for VERTERRA'S unjust enrichment.

30. By reason of the foregoing, VERTERRA and DWORK are jointly and severally liable to D.B. GROUP in the amount of \$46,529.86, plus interest from the date each payment was due and payable, such interest to be determined upon trial of this action, plus an award of costs and reasonable attorneys' fees.

AS AND FOR A THIRD CAUSE OF ACTION FOR QUANTUM MERUIT

31. Plaintiff repeats and realleges each and every allegation set forth in Paragraphs 1 through 30 as if more fully set forth herein.

32. D.B. GROUP performed services for Defendant VERTERRA in good faith.

33. VERTERRA accepted the services of D.B. GROUP in logistics and shipping of merchandise.

34. D.B. GROUP reasonably expected to be compensated for the services it rendered to VERTERRA.

35. The reasonable value of the services rendered by D.B. GROUP to VERTERRA is \$46,529.86.

36. By virtue of the Guarantee executed by DWORK, DWORK and VERTERRA are jointly and severally liable to Plaintiff in quantum meruit.

37. By reason of the foregoing, VERTERRA and DWORK are jointly and severally liable to D.B. GROUP in the amount of \$46,529.86, plus interest from the date each payment was due and payable for each service rendered by Plaintiff, such interest to be determined upon trial of this action, plus an award of costs and reasonable attorneys' fees.

WHEREFORE, Plaintiff D.B. GROUP AMERICA LTD demands judgment against Defendants VERTERRA LTD and MICHAEL DWORK, as follows:

FOR THE FIRST CAUSE OF ACTION, judgment against VERTERRA LTD and MICHAEL DWORK, jointly and severally, in the amount of \$46,529.86, plus interest from the date each payment was due and payable, such interest to be determined upon trial of this action, plus an award of costs, disbursements and reasonable attorneys' fees;

FOR THE SECOND CAUSE OF ACTION, judgment against VERTERRA LTD and MICHAEL DWORK, jointly and severally, in the amount of \$46,529.86, plus interest from the date each payment was due and payable, such interest to be determined upon trial of this action, plus an award of costs, disbursements and reasonable attorneys' fees;

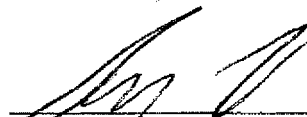
FOR THE THIRD CAUSE OF ACTION, judgment against VERTERRA LTD and MICHAEL DWORK, jointly and severally, in the amount of \$46,529.86, plus interest from the date each payment was due and payable for each service rendered by Plaintiff, such interest to be determined upon trial of this action, plus an award of costs, disbursements and reasonable attorneys' fees;

PLUS such further relief as the court deems just and proper.

Dated: Hawthorne, New York
March 6, 2019

REISMAN, RUBEO & ALTMAN, LLP

By:


SHARMAN T. PROPP, ESQ., of counsel
Attorneys for Plaintiff
151 Broadway
Hawthorne, New York 10532
(914) 495-3050

ATTORNEY VERIFICATION

SHARMAN T. PROPP, ESQ., an attorney duly licensed to practice law before the Courts of the State of New York, affirms under penalty of perjury as follows:

I am of counsel to Reisman, Rubeo, & Altman, LLP, attorneys for the Plaintiff D.B. Group America Ltd.

I have read the annexed Complaint of Plaintiff D.B. Group America Ltd. I know the contents thereof, and the same are true to my knowledge, except those matters therein which are stated to be alleged upon information and belief, and as to those matters, I believe them to be true. The sources of the allegations made upon information and belief are, among other things, a review of documents and information contained in my file and provided by the Plaintiff and/or conversations with one or more individuals. I make this verification because I maintain my office in a different county than that in which the Plaintiff maintains its principal place of business.

Dated: Hawthorne, New York
March 6, 2019


SHARMAN T. PROPP

Exhibit A

Head office, 10000 15th Avenue, Dept. 500, St. John's, Nfld. A1B 1X6

Direct mail: yaneth.nunez@dbgroup.net

COMPANY NAME	Vertera Ltd.
CONTACT NAME	Eric Osuna
TITLE	Operations Manager
BILLING ADDRESS	545 8 th Avenue
BILLING ADDRESS	Suite 810
TELEPHONE #	212-760-1200 x 1
FAX #	212-760-1200
E-MAIL ADDRESS	Eric@vertera.com

TYPE OF BUSINESS	Manufacturer
YEAR ESTABLISHED	2007
YEARLY GROSS SALES	Do not provide
TAX/EIN NUMBER	[REDACTED]
DUNS NUMBER (D&B)	03-098-9068
YEARLY NET PROFIT	Do not provide
NET VALUE	

NAME	TITLE	ADDRESS
Michael Dwork	President	

NAME	ADDRESS	TELEPHONE-FAX #	CONTACT
Berks Warehouse	4000 Bordentown Ave, Sayreville, NJ 08872	732-254-4777	Maria Albuquerque
Marathon Distributors	Marathon Distribution 490 W Manville Street Rancho Dominguez CA 90220	310-637-1133 x 219	Cindy Flynn
Eco-Products	Eco-Products Inc Dept #771825 P.O Box 77000 Detroit, MI 48277	720-542-6333	Ellen Larsen

NVOCC  IATA  CMA

NEW YORK
COMMERCIAL CREDIT GROUP

100 North Service Road Suite 302
Melville, NY 11747
Tel: 800-634-1318
Fax: 631-465-1318

Head office: 100 North Service Road Suite 302 Melville, NY 11747

www.dbgroup.net

Direct mail: yaneth.nunez@dbgroup.net

BANK REFERENCES

BANK NAME	ACCOUNT #	ADDRESS	TELEPHONE #
JP Morgan	██████████8019	395 North Service Road Suite 302 Melville, NY 11747	1-800-634-1318

CREDIT TERMS:

1. PAYMENT OF ALL INVOICES FOR CUSTOMS DUTIES ARE DUE IN 10 DAYS FROM INVOICE DATE
2. PAYMENT OF ALL OTHER INVOICES IS DUE WITHIN (CREDIT TERMS WILL BE DETERMINED BASED ON THE RESULTS OF YOUR CREDIT APPLICATION).
3. ALL OVERDUE INVOICES BEAR INTEREST AT 2% (TWO PERCENT) PER MONTH ON UNPAID BALANCE.
4. CREDIT APPLICANT AGREES TO PAY ALL COSTS OF COLLECTION, INCLUDING COURT COSTS AND ATTORNEY FEES.
5. CREDIT TERMS AND LIMIT MAY BE CANCELLED OR CHANGED BY CREDITOR AT ANY TIME WITHOUT NOTICE.
6. ALL TRANSACTIONS ARE GOVERNED BY THE LAWS OF THE STATE OF NEW YORK AND CREDIT APPLICANT AGREES TO THE PERSONAL JURISDICTION OF THE STATE OF NEW YORK.
7. ALL TRANSACTIONS ARE GOVERNED BY THE TERMS OF THE CREDITOR'S DOCUMENTS.
8. WE ACCEPT CREDIT CARDS(VISA, MC, AMEX) IF YOU WISH TO PAY YOUR INVOICES VIA CREDIT CARD PLEASE NOTE THAT THERE IS A FEE OF 3% MINIMUM \$25.00

THE CREDIT APPLICANT ACCEPTS THE ABOVE TERMS AND STATES THAT ALL INFORMATION CONTAINED IN THIS CREDIT APPLICATION IS TRUE AND CORRECT. CREDIT APPLICANT AUTHORIZES CREDITOR TO CONTACT ALL REFERENCES, INQUIRE AS TO CREDIT INFORMATION, AND RECEIVE ANY CONFIDENTIAL INFORMATION RELEVANT TO APPROVING CREDIT

PLACE AND DATE	NAME	TITLE	SIGNATURE
NY	Michael P. Porek	President	

PERSONAL GUARANTEE:

Head Office: New York (Branches: Atlanta, Chicago, Los Angeles, Miami, Minneapolis, Miami, Fort Lauderdale, And Bahamas, Jamaica, Barbados, Grenada, Madrid, Montreal, Munich, Stuttgart, Geneva, Dubai, Melbourne, Sydney, Vancouver, Tokyo, Amsterdam, Paris, London, Frankfurt, Munich, Basel, Zurich, Guangzhou, Hong Kong, Beijing)

NVOCC
IATA

CTAV



YOUR GLOBAL
FORWARDING PARTNER

150-30, 132nd Avenue, Unit G, Suite 307, Jamaica, NY, 11434 - USA
T +1 718 553 2225 | F +1 718 553 2226 | dbgroupny@dbgroup.net
Head office: 150-30, 132nd Avenue, Unit G, Suite 307, Jamaica, NY, 11434 - USA

www.dbgroup.net

Direct mail: yaneth.nunez@dbgroup.net

IN CONSIDERATION OF THE SALE OF SERVICE AND/OR MERCHANDISE AND THE GRANTING OF CREDIT OF D.B GROUP AMERICA LTD, THE PERSON(S) OR COMPANY TO WHOM CREDIT IS EXTENDED PURSUANT TO THE ABOVE APPLICATION FOR CREDIT, THE UNDERSIGNED UNCONDITIONALLY, JOINTLY AND SEVERALLY, GUARANTEE(S) PAYMENT OF ALL PURCHASES, MADE BY SAID PERSON(S) OR COMPANY. IT IS FURTHER UNDERSTOOD THAT THIS GUARANTEE SHALL BE A CONTINUING AND IRREVOCABLE GUARANTEE BINDING THE GUARANTOR(S) TO PAY ON DEMAND ANY BALANCE DUE, INCLUDING ALL COSTS OF COLLECTION AND REASONABLE ATTORNEY'S FEES, WHICH MAY BECOME DUE BY THE PERSON OR COMPANY WHENEVER THE PERSON OR COMPANY SHALL FALL TO PAY THE SAME WITHIN 60 DAYS. I UNDERSTAND THAT IN SIGNING THIS APPLICATION, I AM NOT BINDING THE ENTITY OF WHICH I AM OFFICER, AND I ASSURE PERSONAL LIABILITY

FOR ALL THE PAYMENTS AND COSTS CONTAINED IN THIS CREDIT APPLICATION. I HEREBY WAIVE THE FOLLOWING (1) ANY RIGHT OF PRESENTMENT, (2) ANY NOTICE OF DEFAULT, (3) THE PERSONAL JURISDICTION OF THE STATE OF NEW YORK; AND (4) ANY NOTICE OF NONPAYMENT. GUARANTOR CONFIRMS THAT THIS GUARANTY IS ABSOLUTE AND UNCONDITIONAL AND IS A GUARANTY OF PAYMENT AND NOT OF COLLECTION. THE GUARANTOR HEREBY WAIVES ANY CLAIM OR ANY DEFENSE, COUNTERCLAIM, SET-OFF OR OTHER OBJECTION OF ANY KIND TO THE SUIT, ACTION OR PROCEEDING AT LAW, IN EQUITY, OR OTHERWISE, OR TO ANY DEMAND OR CLAIM THAT MAY BE INSTITUTED OR MADE UNDER AND BY VIRTUE OF THE GUARANTY. THIS GUARANTY MAY NOT BE CHANGED OR TERMINATED ORALLY THE USE OF A CORPORATE TITLE IS ONLY TO IDENTIFY MY POSITION IN THE COMPANY AND IN NO WAY NEGATES MY PERSONAL GUARANTEE.

NAME	TITLE	SS#	SIGNATURE
Michael P. Nunez	President	[REDACTED]	<i>Michael P. Nunez</i>

Head Office: New York | Branches: Atlanta - Chicago - Los Angeles - Miami
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Dusseldorf - Munich - Stuttgart - Grenoble - Dubai - Melbourne - Sydney - Santiago de Chile - Osaka - Tokyo
Ahmedabad - Bangalore - Chennai - Kolkata - Mumbai - New Delhi - Guangzhou - Hong Kong - Shanghai

NVOCC

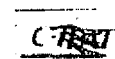


Exhibit B



YOUR GLOBAL
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D.B. GROUP AMERICA LTD - ATLANTA OFFICE
175 Country Club Drive, Suite 200D, Stockbridge, GA, 30281 - USA
T 001 404 361 3002 | F 001 404 361 3005 | dbgroupatl@dbgroup.net

Head Office: 150-16, 132nd Avenue, Unit 200, Jamaica, NY, 11434 - USA

www.dbgroup.net

FMC-OTI No. 019266NF

VERTERRA LTD - LEGAL
545 8TH AVE STE 810
NEW YORK NY 10018

017581

(E) ECSALP-IN: 118123103S

Statement of Account till 12/31/2018

Page 1 of 2

Atlanta, 12/31/2018

Dt. Doc.	Nr. Doc.	Nr. Pro.	Description	Reference	Exp	Cur.	Debit	Credit	Details
07/09/2018	00002542	2542	OUR CR NOTE CW1	SUSANYC00017949	07/09/2018	USD		690,32	690,32-
04/20/2018	00013261	13261	OUR INVOICE CW1	SUSANYC00009776	04/30/2018	USD	677,00		13,32-
TOTAL								-13,32	
05/23/2018	00015636	15636	OUR INVOICE CW1	SUSANYC00011178	06/12/2018	USD	6.405,00		6.391,68
05/25/2018	00015850	15850	OUR INVOICE CW1	SUSANYC00012746	06/14/2018	USD	6.375,00		12.766,68
TOTAL							12.780,00		
06/03/2018	00016410	16410	OUR INVOICE CW1	SUSANYC00012749	06/23/2018	USD	6.435,00		19.201,68
06/18/2018	00017490	17490	OUR INVOICE CW1	SUSANYC00016523	07/08/2018	USD	6.235,00		25.436,68
06/22/2018	00017874	17874	OUR INVOICE CW1	SUSANYC00017008	06/22/2018	USD	6.245,00		31.681,68
06/25/2018	00018017	18017	OUR INVOICE CW1	SUSANYC00017949	06/25/2018	USD	6.085,00		37.766,68
TOTAL							25.000,00		
08/23/2018	00022092	22092	DUTY INV CW1	SUSANYC00021526	08/23/2018	USD	347,33		38.114,01
08/23/2018	00022094	22094	OUR INVOICE CW1	SUSANYC00022210	08/23/2018	USD	6.085,00		44.199,01
TOTAL							6.432,33		
10/22/2018	00025855	25855	OUR INVOICE CW1	SUSANYC00025700	10/22/2018	USD	90,00		44.289,01
10/25/2018	00026295	26295	OUR INVOICE CW1	SUSANYC00023375	10/25/2018	USD	240,00		44.529,01
TOTAL							330,00		
11/06/2018	00027077	27077	OUR INVOICE CW1	SUSANYC00023375	11/06/2018	USD	150,00		44.679,01
TOTAL							150,00		
11/16/2018	300108	300108	OUR INVOICE		11/16/2018	USD	890,85		45.569,86
TOTAL							890,85		
11/28/2018	00028357	28357	OUR INVOICE CW1	SUSANYC00025879	11/28/2018	USD	185,00		45.754,86
TOTAL							185,00		
11/28/2018	00028359	28359	OUR INVOICE CW1	SUSANYC00027218	11/28/2018	USD	155,00		45.909,86
TOTAL							155,00		
11/28/2018	00028360	28360	OUR INVOICE CW1	SUSANYC00026011	11/28/2018	USD	30,00		45.939,86
TOTAL							30,00		
11/29/2018	00028408	28408	OUR INVOICE CW1	SUSANYC00027754	11/29/2018	USD	275,00		46.214,86
TOTAL							275,00		
12/06/2018	00029098	29098	OUR INVOICE CW1	SUSANYC00026011	12/06/2018	USD	160,00		46.374,86
TOTAL							160,00		
12/19/2018	00029874	29874	OUR INVOICE CW1	SUSANYC00029418	12/19/2018	USD	125,00		46.499,86
TOTAL							125,00		
12/19/2018	00029875	29875	OUR INVOICE CW1	SUSANYC00029418	12/19/2018	USD	30,00		46.529,86
TOTAL							30,00		
TOTAL							USD	46.529,86	

	TOTAL PAST OVERDUE	OVERDUE 30 DAYS	OVERDUE 31 - 60 DAYS	OVERDUE 61 - 90 DAYS	OVERDUE 90 + DAYS	EXPIRING
BALANCE USD :	46.529,86	315,00	1.685,85	330,00	44.199,01	

Head Office: New York | **Branches:** Atlanta - Chicago - Los Angeles - Miami
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Guangzhou - Hong Kong - Qingdao - Shanghai - Osaka - Tokyo - Melbourne - Sydney



Accredited
Agent





YOUR GLOBAL
FORWARDING PARTNER

D.B. GROUP AMERICA LTD - ATLANTA OFFICE

175 Country Club Drive, Suite 200D, Stockbridge, GA, 30281 - USA
T 001 404 361 3002 | F 001 404 361 3005 | dbgroupatl@dbgroup.net

Head Office: 150-16, 132nd Avenue, Unit 200, Jamaica, NY, 11434 - USA

www.dbgroup.net

FMC-OTI No. 019266NF

(E) ECSALP-IN: 118123103S

Statement of Account till 12/31/2018

Page 2 of 2

Dt. Doc.	Nr. Doc.	Nr. Pro.	Description	Reference	Exp	Cur.	Debit	Credit	Details
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		USD							
Balance:		46.529,86							

Donna Tufano
donna.tufano@dbgroup.net

Head Office: New York | **Branches:** Atlanta - Chicago - Los Angeles - Miami
Montebelluna - Milano - Prato - Trieste - Arad - Bucharest - Timisoara - Grenoble
Barcelona - Granada - Madrid - Dusseldorf - Munich - Stuttgart - Moscow - Dubai
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Exhibit 2



YOUR GLOBAL
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D.B. GROUP AMERICA LTD - Atlanta Office
175 Country Club Drive, Suite 200D, Stockbridge, GA, 30281 - USA
T +1 404 361 3002 | F +1 404 361 3005 | dbgroupatl@dbgroup.net

Head Office: 150-16, 132nd Avenue, Unit 200, Jamaica, NY, 11434 - USA

www.dbgroup.net

Power of Attorney

IRS#/Customs I.D.# 26-1115987

☐ Individual ☐ Partnership ☐ General Partnership ☐ Limited Partnership ☒ Corporation ☐ Sole Proprietor ☐ L.L.C. ☐ Non-Resident of USA

KNOW ALL MEN BY THESE PRESENTS: That, VenTerra Ltd
Address: 545 8th Ave New York NY 10014 a corporation
incorporated under the laws of the State of, or Province of Delaware or a _____ doing business
as _____ residing at _____ having an office and place of business at
545 8th Avenue New York, NY 10014, hereby constitutes and appoints each of the following persons: D.B. Group

America Ltd and its successors or assigns, through their officers, employees, and/or specifically authorized agents specifically
authorized to act for such corporation by power of attorney as a true and lawful agent and attorney of the grantor named above for and in the
name, place and stead of said grantor from this date and in all Customs Districts, and in no other name, to make, endorse, sign declare, or
swear to any entry, withdrawal, declaration, certificate, bill of lading, carnet or other document required by law or regulation in connection with
the importation, transportation, or exportation of any merchandise shipped or consigned by or to said grantor; to perform any act or condition
which may be required by law or regulation in connection with such merchandise; to receive any merchandise deliverable to said grantor;

To make endorsements on bills of lading conferring authority to transfer title, make entry or collect drawback, and to make, sign, declare,
or swear to any statement, supplemental statement, schedule, supplemental schedule, certificate of delivery, certificate of manufacture, certificate
of manufacture and delivery, abstract of manufacturing records, declaration of proprietor on drawback entry, declaration of exporter on drawback
entry, or any other affidavit or document which may be required by law or regulation for drawback purposes, regardless of whether such bill of
lading, sworn statement, schedule, certificate, abstract, declaration, or other affidavit or document is intended for filing in any customs district;

To sign, seal and deliver for and as the act of said grantor any bond required by law or regulation in connection with the entry or withdrawal
of imported merchandise or merchandise exported with or without benefit of drawback, or in connection with the entry, clearance, lading, unlading
or navigating of any vessel or other means of conveyance owned or operated by said grantor, and any and all bonds which may be voluntarily
given and accepted under applicable laws and regulations, consignee's and owner's declarations provided for in section 485, Tariff Act of 1930, as
amended, or affidavits in connection with the entry of merchandise;

To sign and swear to any document and to perform any act that may be necessary or required by law or regulation in connection with the
entering, clearing, lading, unlading or operation of any vessel or other means of conveyance owned or operated by said grantor;

To authorize other Customs Brokers to act as grantor's agent; to receive, endorse and collect checks issued for Customs duty refunds in
grantor's name drawn on the Treasurer of the United States, if the grantor is a nonresident of the United States, to accept service of process on
behalf of the grantor;

To receive, endorse and collect checks issued for customs duty refunds in grantor's name drawn on the Treasurer of the United States; if
the grantor is a non-resident of the United States, to accept service of process on behalf of the grantor;

And generally to transact at the customhouses in any district any and all customs business, including making, signing and filing of
protests under section 514 of the Tariff Act of 1930, in which said grantor is or may be concerned or interested and which may properly be
transacted or performed by an agent and attorney, giving to said agent and attorney full power and authority to do anything whatever requisite and
necessary to be done in the premises as fully as said grantor could do if present and acting, hereby ratifying and confirming all that the said agent
and attorney shall lawfully to by virtue of these presents; the foregoing power of attorney to remain in full force and effect until notice of revocation
in writing is duly given to and received by a District Director of Customs. If the donor of this power of attorney is a partnership, the said power shall
in no case have any force or effect after the expiration of 2 years from the date of its execution.

In the execution of this document, it is expressly understood that payment to the grantee, if a broker, does not relieve the grantor of
liability for Customs charges (duties, taxes or other debts owed Customs) in the event the charges are not paid by the broker. Therefore, if
payment is by check, Customs charges may be paid with a separate check payable to "U.S. Customs Service", which shall be delivered to Customs
by the broker.

If the grantor is a Principal Party in Interest ("PPI") in an export transaction then the grantor/PPI hereby certifies that all statements and
information contained in the documentation provided to D.B. Group America Ltd, relating to exportation are true and correct. Furthermore, the
grantor/PPI understands that civil or criminal penalties may be imposed for making false or fraudulent statements or for the violation of any United
States laws or regulations on exportation. If the grantor/PPI in an export transaction is a foreign entity, then the grantor/PPI undertakes to
determine any export license requirements, to obtain, for export purposes, any export License or other official authorization, and to carry out any
Customs' formalities for the exportation of the goods.

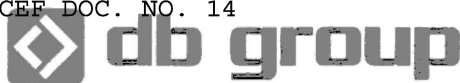
The Grantor herein acknowledges and represents that it, and all its associates, affiliates, parents, subsidiaries or related companies
whosoever situate in the United States or the world, have retained the services of D.B. Group America Ltd, to act as a customs broker/freight
forwarder and to perform any and all of the services described herein and that all such persons or corporate bodies shall be responsible to pay any
and all accounts rendered by D.B. Group America Ltd for the performances of such services.

In the execution of this document it is expressly understood that D.B. Group America Ltd, as well as its successors and assigns, limit their
liability to the extent provided for under law and in accordance with D.B. Group America Ltd Terms and Conditions of Service; a written copy which
grantor hereby acknowledges having received.

If the grantor is a Limited Liability Corporation, the signatory certifies that he/she has full authority to execute this instrument on behalf of
the grantor.

IN WITNESS WHEREOF, the said Michael Buoch has caused
these presents to be sealed and signed: (Signature) Michael Buoch (Printed or Type Name) Michael Buoch
(Capacity as Corp. Officer) President (Date) 5-30-16

NYSCEF DOC. NO. 14

YOUR GLOBAL
FORWARDING PARTNER

D.B. GROUP AMERICA LTD - Atlanta Office

175 Country Club Drive, Suite 200D, Stockbridge, GA, 30281 - USA
T +1 404 361 3002 | F +1 404 361 3005 | dbgroupatl@dbgroup.net

Head Office: 150-16, 132nd Avenue, Unit 200, Jamaica, NY, 11434 - USA

www.dbgroup.net

RECEIVED NYSCEF: 12/06/2019

Certification for Individuals and PartnershipsCity _____
County _____
State _____On this _____ day of _____, 20_____
Personally appeared before me _____,
Residing at _____
Personally known or sufficiently identified to me, who certifies that

(is)(are) the individuals who executed the foregoing instrument and
acknowledged it to be (his/her/their) free act and deed.

(Notary Public)

Certification by Non-Resident Corporation

(To be made by an officer other than the one who executed the power of attorney)

I, _____, CERTIFY THAT I AM THE _____
(NAME) (TITLE)
OF _____, ORGANIZED UNDER THE LAWS OF THE PROVINCE OF _____
(NAME OF CORPORATION)
THAT _____, WHO SIGNED THE POWER OF ATTORNEY ON BEHALF OF THE
(NAME OF SIGNER OF POWER OF ATTORNEY)
CORPORATION, IS THE _____ OF SAID CORPORATION, AND THAT THE SIGNER WAS
(TITLE)
GIVEN THE AUTHORITY TO SIGN POWERS OF ATTORNEY ON BEHALF OF THE CORPORATION.IN WITNESS WHEREOF, I HAVE HEREUNTO SET MY HAND AT THE CITY OF _____
(CITY IN WHICH CORPORATION IS LOCATED)
(DATE) _____/20_____. _____
(SIGNATURE)**TO BE COMPLETED ONLY IF THERE IS ONLY ONE OFFICER OF NON-RESIDENT CORPORATION**I, _____, CERTIFY THAT I AM THE SOLE OFFICER AND/OR
(NAME)
SHAREHOLDER OF _____
(DATE) _____/20_____. _____
(SIGNATURE)IF YOU ARE THE IMPORTER OF RECORD, PAYMENT TO THE BROKER WILL NOT RELIEVE YOU OF LIABILITY FOR CUSTOMS CHARGES
(DUTIES, TAXES, OR OTHER DEBTS OWED CBP) IN THE EVENT THE CHARGES ARE NOT PAID BY THE BROKER. THEREFORE, IF YOU PAY BY
CHECK, CBP CHARGES MAY BE PAID WITH A SEPARATE CHECK PAYABLE TO THE "U.S. CUSTOMS AND BORDER PROTECTION" WHICH SHALL
BE DELIVERED TO CBP BY THE BROKER.



YOUR GLOBAL
FORWARDING PARTNER

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Head Office: 150-16, 132nd Avenue, Unit 200, Jamaica, NY, 11434 - USA

www.dbgroup.net

RECEIVED NYSCEF: 12/06/2019

These terms and conditions of service constitute a legally binding contract between the "Company" and the "Customer". In the event the Company renders services and issues a document containing Terms and Conditions governing such services, the Terms and Conditions set forth in such other document(s) shall govern those services.

1. Definitions

- (a) "Company" shall mean as applicable, D.B Group America, LTD., and its/their subsidiaries, related companies, agents and/or representatives.
- (b) "Customer" shall mean the person for which the Company is rendering service, as well as its agents and/or representatives, including, but not limited to, shippers, importers, exporters, carriers, secured parties, warehousemen, buyers and/or sellers, shipper's agents, insurers and underwriters, break-bulk agents, consignees, etc. It is the responsibility of the Customer to provide notice and copy(s) of these terms and conditions of service to all such agents or representatives;
- (c) "Documentation" shall mean all information received directly or indirectly from Customer, whether in paper or electronic form;
- (d) Ocean Transportation Intermediaries" ("OTI") shall include an "ocean freight forwarder" and a "non-vessel operating common carrier;"
- (e) "Third parties" shall include, but not be limited to, the following: "carriers, truckmen, cartmen, lightermen, forwarders, OTI's, customs brokers, agents, warehousemen and others to which the goods are entrusted for transportation, cartage, handling and/or delivery and/or storage or otherwise."

2. Company As Agent. The Company acts as the "agent" of the Customer for the purpose of performing duties in connection with the entry and release of goods, post entry services, the securing of export licenses, the filing of export documentation on behalf of the Customer and other dealings with Government Agencies; as to all other services, Company acts as an independent contractor.

3. Limitation of Actions. (a) Unless subject to a specific statute or international convention, all claims against the Company for a potential or actual loss, must be made in writing and received by the Company, within ninety (90) days of the event giving rise to claim; the failure to give the Company timely notice shall be a complete defense to any suit or action commenced by Customer.

(b) All suits against Company must be filed and properly served on Company as follows:

- (i) For claims arising out of ocean transportation, within one (1) year from the date of the loss;
- (ii) For those claims arising from air transportation, within two (2) years from the date of the loss;
- (iii) For claims arising out of the preparation and/or submission of an import entry(s), within seventy five (75) days from the date of liquidation of the entry(s);
- (iv) For any and all other claims of any other type, within two (2) years from the date of the loss or damage.

4. No Liability For The Selection or Services of Third Parties and/or Routes. Unless services are performed by persons or firms engaged pursuant to express written instructions from the Customer, Company shall use reasonable care in its selection of third parties, or in selecting the means, route and procedure to be followed in the handling, transportation, clearance and delivery of the shipment; advice by the Company that a particular person or firm has been selected to render services with respect to the goods, shall not be construed to mean that the Company warrants or represents that such person or firm will render such services nor does Company assume responsibility or liability for any action(s) and/or inaction(s) of such third parties and/or its agents, and shall not be liable for any delay or loss of any kind, which occurs while a shipment is in the custody or control of a third party or the agent of a third party; all claims in connection with the Act of a third party shall be brought solely against such party and/or its agents; in connection with any such claim, the Company shall reasonably cooperate with the Customer, which shall be liable for any charges or costs incurred by the Company.

5. Quotations Not Binding. Quotations as to fees, rates of duty, freight charges, insurance premiums or other charges given by the Company to the Customer are for informational purposes only and are subject to change without notice; no quotation shall be binding upon the Company unless the Company in writing agrees to undertake the handling or transportation of the shipment at a specific rate or amount set forth in the quotation and payment arrangements are agreed to between the Company and the Customer.

6. Reliance On Information Furnished. (a) Customer acknowledges that it is required to review all documents and declarations prepared and/or filed with the Customs Service, other Government Agency and/or third parties, and will immediately advise the Company of any errors, discrepancies, incorrect statements, or omissions on any declaration filed on Customers behalf;

(b) In preparing and submitting Customs entries, export declarations, applications, documentation and/or export data to the United States and/or a third party, the Company relies on the correctness of all documentation, whether in written or electronic format, and all information furnished by Customer; Customer shall use reasonable care to insure the correctness of all such information and shall indemnify and hold the Company harmless from any and all claims asserted and/or liability or losses suffered by reason of any incorrect or false statement upon which the Company reasonably relied.

7. Declaring Higher Value To Third Parties. Third parties to whom the goods are entrusted may limit liability for loss or damage; the Company will request excess valuation coverage only upon specific written instructions from the Customer, which must agree to pay any charges therefor; in the absence of written instructions or the refusal of the third party to agree to a higher declared value, at Company's discretion, the goods may be tendered to the third party, subject to the terms of the third party's limitations of liability and/or terms and conditions of service.

8. Insurance. Unless requested to do so in writing and confirmed to Customer in writing, Company is under no obligation to procure insurance on Customer's behalf; in all cases, customer shall pay all premiums and costs in connection with procuring requested insurance.

9. Disclaimers; Limitation of Liability. (a) Except as specifically set forth herein, Company makes no express or implied warranties in connection with its services;

(b) Subject to (d) below, Customer agrees that in connection with any and all services performed by the Company, the Company shall only be liable for its negligent acts, which are the direct and proximate cause of any injury to Customer, including loss or damage to Customer's goods, and the Company shall in no event be liable for the acts of third parties;

(c) In connection with all services performed by the Company, Customer may obtain additional liability coverage, up to the actual or declared value of the shipment or transaction, by requesting such coverage and agreeing to make payment therefor, which request must be confirmed in writing by the Company prior to rendering services for the covered transaction(s).

(d) In the absence of additional coverage under (c) above, the Company's liability shall be limited to the following:

- (i) where the claim arises from activities other than those relating to customs brokerage, \$50.00 per shipment or transaction, or
- (ii) where the claim arises from activities relating to "Customs business," \$50.00 per entry or the amount of brokerage fees paid to Company for the entry, whichever is less;

(e) In no event shall Company be liable or responsible for consequential, indirect, incidental, statutory or punitive damages even if it has been put on notice of the possibility of such damages.



YOUR GLOBAL
FORWARDING PARTNER

D.B. GROUP AMERICA LTD - Atlanta Office

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Head Office: 150-16, 132nd Avenue, Unit 200, Jamaica, NY, 11434 - USA

www.dbgroup.net

in 10 days from invoice date.

11. Indemnification/Hold Harmless. The Customer agrees to indemnify, defend, and hold the Company harmless from any claims and/or liability arising from the importation or exportation of Customer's merchandise and/or any conduct of the Customer, which violates any Federal, State and/or other laws, and further agrees to indemnify and hold the Company harmless against any and all liability, loss, damages, costs, claims and/or expenses, including but not limited to reasonable attorney's fees, which the Company may hereafter incur, suffer or be required to pay by reason of such claims; in the event that any claim, suit or proceeding is brought against the Company, it shall give notice in writing to the Customer by mail at its address on file with the Company.

12. C.O.D. or Cash Collect Shipments. Company shall use reasonable care regarding written instructions relating to "Cash/Collect" on "Deliver (C.O.D.)" shipments, bank drafts, cashier's and/or certified checks, letter(s) of credit and other similar payment documents and/or instructions regarding collection of monies but shall have no liability if the bank or consignee refuses to pay for the shipment.

13. Costs of Collection. In any dispute involving monies owed to Company, the Company shall be entitled to all costs of collection, including reasonable attorney's fees and interest at 15% per annum or the highest rate allowed by law, whichever is less, unless a lower amount is agreed to by Company.

14. General Lien And Right To Sell Customer's Property. (a) Company shall have a general and continuing lien on any and all property of Customer coming into Company's actual or constructive possession or control for monies owed to Company with regard to the shipment on which the lien is claimed, a prior shipment(s) and/or both;

(b) Company shall provide written notice to Customer of its intent to exercise such lien, the exact amount of monies due and owing, as well as any on-going storage or other charges; Customer shall notify all parties having an interest in its shipment(s) of Company's rights and/or the exercise of such lien.

(c) Unless, within thirty days of receiving notice of lien, Customer posts cash or letter of credit at sight, or, if the amount due is in dispute, an acceptable bond equal to 110% of the value of the total amount due, in favor of Company, guaranteeing payment of the monies owed, plus all storage charges accrued or to be accrued, Company shall have the right to sell such shipment(s) at public or private sale or auction and any net proceeds remaining thereafter shall be refunded to Customer.

15. No Duty To Maintain Records For Customer. Customer acknowledges that pursuant to Sections 508 and 509 of the Tariff Act, as amended, (19 USC §1508 and §1509) it has the duty and is solely liable for maintaining all records required under the Customs and/or other Laws and Regulations of the United States; unless otherwise agreed to in writing, the Company shall only keep such records that it is required to maintain by Statute(s) and/or Regulation(s), but not act as a "recordkeeper" or "recordkeeping agent" for Customer.

16. Obtaining Binding Rulings, Filing Protests, etc. Unless requested by Customer in writing and agreed to by Company in writing, Company shall be under no obligation to undertake any pre- or post- Customs release action, including, but not limited to, obtaining binding rulings, advising of liquidations, filing of petition(s) and/or protests, etc.

17. Preparation and Issuance of Bills of Lading. Where Company prepares and/or issues a bill of lading, Company shall be under no obligation to specify thereon the number of pieces, packages and/or cartons, etc.; unless specifically requested to do so in writing by Customer or its agent and Customer agrees to pay for same, Company shall use the weight supplied by Customer.

18. No Modification or Amendment Unless Written. These terms and conditions of service may only be modified, altered or amended in writing signed by both Customer and Company; any attempt to unilaterally modify, alter or amend same shall be null and void.

19. Compensation of Company. The compensation of the Company for its services shall be included with and is in addition to the rates and charges of all carriers and other agencies selected by the Company to transport and deal with the goods and such compensation shall be exclusive of any brokerage, commissions, dividends, or other revenue received by the Company from carriers, insurers and others in connection with the shipment. On ocean exports, upon request, the Company shall provide a detailed breakout of the components of all charges assessed and a true copy of each pertinent document relating to these charges. In any referral for collection or action against the Customer for monies due the Company, upon recovery by the Company, the Customer shall pay the expenses of collection and/or litigation, including a reasonable attorney fee.

20. Severability. In the event any Paragraph(s) and/or portion(s) hereof is found to be invalid and/or unenforceable, then in such event the remainder hereof shall remain in full force and effect.

21. Governing Law; Consent to Jurisdiction and Venue. These terms and conditions of service and the relationship of the parties shall be construed according to the laws of the State of New York, without giving consideration to principles of conflict of law. Customer and Company (a) irrevocably consent to the jurisdiction of the United States District Court and the State courts of New York; (b) agree that any action relating to the services performed by Company, shall only be brought in said courts; (c) consent to the exercise of *in personam* jurisdiction by said courts over it, and (d) further agree that any action to enforce a judgment may be instituted in any jurisdiction.

APPROVED BY : NATIONAL CUSTOMS BROKERS AND FREIGHT FORWARDERS ASSOCIATION OF AMERICA, INC. (REVISED 10/99)

Exhibit 3

SUPREME COURT OF THE STATE OF NEW YORK
COUNTY OF NEW YORK

-----	X	
	:	
D.B. GROUP AMERICA LTD,	:	
	:	Index No. 651402/2019
Plaintiff,	:	
	:	
- against -	:	VERIFIED ANSWER and
	:	<u>COUNTERCLAIMS</u>
VERTERRA LTD and MICHAEL DWORK,	:	
	:	
Defendants.	:	

----- X

VerTerra LTD (“VerTerra”) and Michael Dwork (“Dwork”) (collectively “Defendants”),
by its attorneys, Bushell, Sovak & Kane LLP, answer the allegations set forth in the Verified
Complaint of Plaintiff D.B. Group America Ltd. (“D.B. Group America” or “Plaintiff”) as
follows:

ANSWERING THE COMPLAINT

1. Defendants deny knowledge or information sufficient to form a belief as to the allegations contained in paragraph 1 of the Verified Complaint.
2. Defendants deny knowledge or information sufficient to form a belief as to the allegations contained in paragraph 2 of the Verified Complaint.
3. Defendants admit VerTerra is a New York corporation but otherwise deny the allegations contained in paragraph 3 of the Verified Complaint.
4. Defendants admit the allegations contained in paragraph 4 of the Verified Complaint.
5. Defendants admit the allegations contained in paragraph 5 of the Verified Complaint.

6. Defendants admit the allegations contained in paragraph 6 of the Verified Complaint.

7. Defendants aver that paragraph 7 of the Verified Complaint contains legal conclusions as to which no response is required, and otherwise admit the factual allegations contained in paragraph 7 of the Verified Complaint.

8. Defendants aver that paragraph 8 of the Verified Complaint contains legal conclusions as to which no response is required, and otherwise admit the factual allegations contained in paragraph 8 of the Verified Complaint.

9. Defendants deny knowledge or information sufficient to form a belief as to the allegations contained in paragraph 9 of the Verified Complaint.

10. Defendants deny the allegations contained in paragraph 10 of the Verified Complaint, but admit during the period between May of 2016 and November of 2018 VerTerra did business with D.B. Group America.

11. Defendants admit that VerTerra submitted a credit application to D.B. Group America in May of 2016 and that Dwork executed a portion of the credit application entitled “Personal Guarantee” in connection with the same. To the extent the allegations of Paragraph 11 of the Verified Complaint seek to paraphrase or characterize the contents of that written document, the documents speak for themselves and Defendants deny the allegations to the extent that they are inconsistent with those documents.

12. Defendants admit that between May of 2016 and November of 2018 that D.B. Group America performed shipping services for VerTerra and extended credit to it. Defendants otherwise deny the allegations contained in paragraph 12 of the Verified Complaint.

13. Defendants admit that Plaintiff billed VerTerra for the amount set forth in paragraph 13 of the Verified Complaint but deny the remaining allegations set forth therein.

14. To the extent the allegations of paragraph 14 of the Verified Complaint seek to paraphrase or characterize the contents of a written document, the documents speak for themselves and Defendants deny the allegations to the extent that they are inconsistent with those documents. Defendants further deny the allegation that Defendants owe any money to D.B. Group America related to the invoices reflected therein.

15. To the extent the allegations of paragraph 15 of the Verified Complaint seek to paraphrase or characterize the contents of a written document, the documents speak for themselves and Defendants deny the allegations to the extent that it is inconsistent with those documents. Defendants also deny any allegation that they owe any further funds, costs or attorney's fees related to the invoices addressed in the Verified Complaint.

16. Defendants admit that D.B. Group America has made written demands for immediate and full payment of the subject invoices, but deny all other allegations set forth in paragraph 16 of the Verified Complaint.

17. Defendants deny the allegations contained in paragraph 17 of the Verified Complaint.

18. Defendants deny the allegations contained in paragraph 18 of the Verified Complaint.

**AS AND FOR DEFENDANTS' ANSWER TO PLAINTIFF'S FIRST CAUSE
OF ACTION FOR BREACH OF CONTRACT**

19. In response to paragraph 19 of the Verified Complaint, Defendants repeat and reallege every response to paragraphs 1-18 of the Verified Complaint as if more fully set forth herein.

20. Defendants deny the allegations contained in paragraph 20 of the Verified Complaint.

21. Defendants deny the allegations contained in paragraph 21 of the Verified Complaint.

22. Defendants deny the allegations contained in paragraph 22 of the Verified Complaint.

23. Defendants deny the allegations contained in paragraph 23 of the Verified Complaint.

24. Defendants deny the allegations contained in paragraph 24 of the Verified Complaint.

25. Defendants deny the allegations contained in paragraph 25 of the Verified Complaint.

**AS AND FOR DEFENDANTS' ANSWER TO PLAINTIFF'S SECOND CAUSE
OF ACTION FOR UNJUST ENRICHMENT**

26. In response to paragraph 26 of the Verified Complaint, Defendants repeat and reallege every response to paragraphs 1-25 of the Verified Complaint as if more fully set forth herein.

27. Defendants admit that between May of 2016 and November of 2018 D.B. Group America performed shipping services for VerTerra, and otherwise deny the allegations contained in paragraph 27 of the Verified Complaint.

28. Defendants deny the allegations contained in paragraph 28 of the Verified Complaint.

29. Defendants deny the allegations contained in paragraph 29 of the Verified Complaint.

30. Defendants deny the allegations contained in paragraph 30 of the Verified Complaint.

**AS AND FOR DEFENDANTS' ANSWER TO PLAINTIFF'S THIRD CAUSE
OF ACTION FOR QUANTUM MERUIT**

31. In response to paragraph 31 of the Verified Complaint, Defendants repeat and reallege every response to paragraphs 1-30 of the Verified Complaint as if more fully set forth herein.

32. Defendants deny the allegations contained in paragraph 32 of the Verified Complaint.

33. Defendants admit that between May of 2016 and November of 2018 D.B. Group America performed shipping services for VerTerra, and otherwise deny the allegations contained in paragraph 33 of the Verified Complaint.

34. Defendants admit that between May of 2016 and November of 2018 D.B. Group America performed shipping services for VerTerra, and otherwise deny the allegations contained in paragraph 34 of the Verified Complaint.

35. Defendants deny the allegations contained in paragraph 35 of the Verified Complaint.

36. Defendants deny the allegations contained in paragraph 36 of the Verified Complaint.

37. Defendants deny the allegations contained in paragraph 37 of the Verified Complaint.

AFFIRMATIVE DEFENSES

FIRST AFFIRMATIVE DEFENSE

Plaintiff's alleged injury was proximately caused in whole or in part by Plaintiff's own culpable conduct.

SECOND AFFIRMATIVE DEFENSE

The credit application and incorporated guarantee are unenforceable agreements to agree.

THIRD AFFIRMATIVE DEFENSE

Plaintiff is estopped by Plaintiff's own conduct from any recovery in this action.

FOURTH AFFIRMATIVE DEFENSE

The Verified Complaint fails to state a claim against Defendants upon which relief may be granted.

FIFTH AFFIRMATIVE DEFENSE

Plaintiff's material breach of the terms of the credit application relieved Defendants of their obligations under the credit application and incorporated personal guarantee.

SIXTH AFFIRMATIVE DEFENSE

Plaintiff engaged in fraud and deceit to induce Defendants into entering into the credit application and incorporated guarantee and, accordingly, those documents should be rescinded and Plaintiff barred from any recovery pursuant to the same.

SEVENTH AFFIRMATIVE DEFENSE

Plaintiff is barred by unclean hands from any recovery in this action.

EIGHTH AFFIRMATIVE DEFENSE

Plaintiff failed to mitigate damages.

NINTH AFFIRMATIVE DEFENSE

Plaintiff is barred from a recovery on the grounds of economic duress and/or duress of property.

TENTH AFFIRMATIVE DEFENSE

Plaintiff is barred from recovery on its claims of unjust enrichment and quantum meruit as it alleges the shipments at issue are the subject of enforceable and valid contracts.

ELEVENTH AFFIRMATIVE DEFENSE

Plaintiff is barred from recovery as it failed to meet a condition precedent of the credit application and incorporated personal guarantee in that Plaintiff failed to issue the requisite paperwork and agreements for each shipment at issue.

TWELFTH AFFIRMATIVE DEFENSE

Plaintiff's actions are in violation of Federal Maritime Regulations and provisions of the Shipping Act governing the same.

THIRTEENTH AFFIRMATIVE DEFENSE

The alleged guarantee violates public policy as it seeks to guarantee the payment of fees in excess of those to which the Plaintiff would be entitled under applicable laws and regulations and as such is unenforceable.

FOURTEENTH AFFIRMATIVE DEFENSE

Plaintiff is barred from recovery based of the equitable doctrine of unjust enrichment, in that it seeks to recover amounts well beyond those it is entitled to under applicable laws and regulations and well beyond applicable market rates for the services at issue.

FIFTEENTH AFFIRMATIVE DEFENSE

Plaintiff is barred from recovery under N.Y.S. faithless servant doctrine in that it breached its fiduciary duty and duty of loyalty owed to VerTerra.

COUNTERCLAIMS

1. VerTerra is in the business of creating and selling environmentally sustainable and disposable dinnerware constructed from fallen palm leaves.
2. Much of VerTerra's product is manufactured in Indonesia, India and The People's Republic of China and then shipped to the United States.

3. D.B. Group America, LTD. (“D.B. Group America”) is a New York corporation with a principal place of business in Queens.

4. Upon information and belief, D.B. Group America is a subsidiary of a larger Italian company, D.B. Group S.P.A.

5. D.B. Group S.P.A. has affiliated D.B. Companies all over the world, including, but not limited to, D.B. Group America, D.B. Group India Pvt. Ltd., D.B. Group China, Ltd., PT DGB Logistic Indonesia.

6. Starting in 2015 D.B. Group America began soliciting VerTerra to handle its shipping business. An individual named Mattia Mazzega (“Mazzega”) from D.B. Group America regularly called on VerTerra in an effort to obtain its business.

7. During that time, VerTerra shared with D.B. Group America the rates it was paying for shipping and Mazzega informed Michael Dwork and Eric Osuna of VerTerra they were being horribly overcharged by its shipping vendor of eight (8) years and that unscrupulous shipping vendors often start with lower prices but raised them over time even though there was no corresponding increase in the underlying shipping rates.

8. During these same conversations, Mazzega represented that shipping rates generally remained flat with the exception of temporary general rate increases and that D.B. Group America could do much better than the rates VerTerra was paying.

9. Mazzega performed an analysis of VerTerra’s shipping invoices and represented that the shipments they were now paying (over \$6,000) D.B. Group America would charge between \$4,500 and \$5,500.

10. As a result of this representation, VerTerra requested that D.B. Group America provide quotes for shipments from Indonesia and India to the U.S. and the quotes returned by D.B. Group America fell within the promised range of \$4,500 to \$5,500.

11. In addition to the above, it was represented by Mazzega to VerTerra that prior to shipping and invoicing, D.B. Group America would provide a quote to VerTerra for its approval. In fact, the credit application expressly stated that “all transactions are governed by the terms of the creditors’ documents.”

12. Plaintiff and Defendant never entered into any formalized written agreement defining the role being played by D.B. Group America or defining the rate structure as anticipated by the credit application.

13. Mazzega’s statements regarding pricing and additional documentation were false at the time they were made and were made by Mazzega with the intention of inducing VerTerra and Dwork into executing the credit application and incorporated personal guarantee.

14. Notably, the credit application did not contain any proposed rates. VerTerra and Dwork were induced to execute the application, and the incorporated guarantee, as result of Mazzega’s knowingly false misrepresentations regarding pricing and that additional documentation in the form of quotes for approval would be provided to VerTerra before each shipment.

15. As a result of the above misrepresentations by Mazzega, in May of 2016 VerTerra and Dwork executed a credit application and incorporated guarantee with D.B. Group and began using D.B. Group for its shipping.

16. D.B. Group America’s initial shipments of VerTerra products initially fell within the promised price range of \$4,500 to \$5,500 per shipment.

17. Despite D.B. Group America’s representation regarding quotes, once the transactions began, D.B. Group America shortly thereafter stopped issuing quotes related to each shipment and stopped obtaining written approvals with regard to the amounts it was charging for each shipment.

18. In late 2017 D.B. Group America changed its invoicing system and did not issue any invoice to VerTerra for several months. Instead, D.B. Group America issued a retroactive invoice in January of 2018 which included the back charges. This put VerTerra behind as it attempted to pay both these back charges and the new invoices.

19. VerTerra was first informed by D.B. Group America that its account was delinquent in May of 2018.

20. At that time it was agreed that VerTerra would pay \$30,000 and then an additional \$30,000 per month to be applied to old payments in order to pay off the back due invoices.

21. Shortly thereafter D.B. Group America began demanding \$30,000 a week from VerTerra and began harassing Defendants for payment.

22. In July of 2018, VerTerra began to realize a number of the payments made were not being properly applied by D.B. Group America and that it was not being properly credited for certain payments.

23. In August of 2018, D.B. Group America's collection tactics became more draconian. Representatives of D.B. Group America, including Mazzega and Donna Tufano, began to verbally threaten to hold VerTerra's freight, which was under shipment, if it did not make payments on old invoices with every new invoice.

24. VerTerra informed D.B. Group America that such threatened retention of VerTerra's freight on the basis of old invoices was improper and illegal, yet the threats continued.

25. During a late August meeting at VerTerra, a representative of D.B. Group America named Enrico Gentile again demanded that VerTerra make a payment on past charges with every new payment or D.B. Group America would hold VerTerra's freight. Gentile said as

long as VerTerra kept shipping and paying old invoices with new invoices he would not hold VerTerra's freight or pursue legal remedy.

26. In order to stay in business, VerTerra always had freight in transit from its manufacturers in Asia. Moreover, VerTerra has no alternative source for the proprietary products it needs to ship and deliver to customers in the US. As such, D.B. Group America's threats to hold VerTerra's freight were very serious as they threatened the viability of the company.

27. D.B. Group America's hesitation to put VerTerra's older invoices into collections and carry out its threats to hold the cargo raised suspicions at VerTerra. As a result, VerTerra reviewed its records and invoices with regard to the shipments at issue.

28. A review of the records revealed that D.B. Group America had not been providing quotes for approval before shipping as it had represented and that D.B. Group America had been charging substantially more than the \$4,500-\$5,500 it represented would be the cost of these shipments, both representations upon which VerTerra and Dwork had relied when executing the credit agreement and incorporated guarantee.

29. Over the next few months the threats to "delay" or retain VerTerra's freight if VerTerra failed to make old payments continued. It was clear to VerTerra that D.B. Group America was attempting to force VerTerra to ship at inflated rates under the threat of withholding freight they failed to continue this course of action.

30. On November 13, 2018, D.B. Group America put its prior verbal threats of retaining freight into email form and stated that no shipments would be released until the \$51,036.89 they alleged VerTerra owed from old invoices was paid. These amounts had no relation to VerTerra's freight D.B. Group America was refusing to release. Even after VerTerra made payments for the goods under shipment, D.B. Group America repeated its intention to retain the same goods on the basis of the old and unrelated invoices.

31. On November 16, 2018, VerTerra informed D.B. Group America that its course of conduct was illegal and that it believed it had been dramatically overcharged based upon what D.B. Group America had represented the cost of shipments would be and from quotes it obtained from other shippers.

32. As a result, D.B. Group America released the shipment.

33. D.B. Group America initially responded that it had not overcharged VerTerra as it had obtained written quote approvals from VerTerra on each shipment. VerTerra had no record of such approvals and despite repeated assurances to provide such approvals from D.B. Group America none have been forthcoming.

34. Upon information and belief, D.B. Group America was charging VerTerra in excess of its published tariff in violation of 45 USC § 40501, 46 USC § 41104(2) and 46 USC 41104(4).

FIRST COUNTERCLAIM – FRAUD IN THE INDUCEMENT

35. VerTerra and Dwork repeat and reallege the allegations contained in Counterclaim paragraphs 1-34 as if more fully set forth herein.

36. In May of 2016, in an effort to gain VerTerra's shipping business, Mazzega of D.B. Group America represented to VerTerra that it was being grievously overcharged by its current shipper and that if it did business with D.B. Group America it would be charged between \$4,500 and \$5,500 to ship its goods from Indonesia and India to the United States.

37. Mazzega of D.B. Group America represented that \$4,500 to \$5,500 was its present rate and that rate would remain largely static should VerTerra ship with D.B. Group America.

38. Mazzega of D.B. Group America further represented that it would provide quotes for approval for each shipment before sending an invoice.

39. The above representations were knowingly false when made and made with the intention of inducing VerTerra and Dwork to execute the credit application and incorporated guarantee.

40. VerTerra and Dwork reasonably relied upon these representations and, on the basis of the same, were induced into executing the credit application and incorporated guarantee.

41. Dwork, personally, reasonably relied on the representations made by D.B. Group America both as to the rates it would be charging and its representation that D.B. Group America would provide quotes and obtain VerTerra's approval of those rates before shipping VerTerra's goods and invoicing VerTerra as a basis for executing into the guarantee incorporated into the credit application.

42. As a result of entering into the credit agreement and incorporated guarantee, on the basis of these intentional misrepresentations, the credit application and incorporated guarantee should be rescinded.

SECOND COUNTERCLAIM- UNJUST ENRICHMENT

43. VerTerra and Dwork repeat and reallege the allegations contained in Counterclaim paragraphs 1- 42 as if more fully set forth herein.

44. In May of 2016 the VerTerra and Dwork executed the credit application and which included the alleged personal guarantee. The credit application clearly contemplates additional documentation and terms would be needed for a contract to be formed for each transaction.

45. In fact, the credit application expressly states that "all transactions are governed by the terms of the creditor's documents."

46. The “creditor’s documents” described above, were supposed to take the form of a pre-transaction quote provided to VerTerra by D.B. Group America on each proposed shipment for VerTerra’s review and approval.

47. D.B. Group America failed to provide this agreed upon quote or seek authorization for the amounts the charged for each transaction at issue.

48. D.B. Group America took advantage of the fact that no quotes were being provided to raise its rates above the agreed upon rates of \$4,500 to \$5,500 a shipment.

49. Moreover, pursuant to the terms of the Shipping Act, 46 USC § 40501, D.B. Group America and its affiliates were required to make open to public inspection a tariff showing all its rates, charges, classifications, rules, and practices between all points or ports on its own route and on any through transportation route that has been established available to the public.

50. D.B. Group America and its affiliates who provided services to VerTerra violated the 46 USC § 40501 by failing to post tariffs for the commodities and lanes it serviced on behalf of VerTerra for all the shipments it handled on behalf of VerTerra from June of 2016 until December of 2018.

51. Moreover, neither D.B. Group America nor any other affiliated D.B. Group entity entered into any Negotiated Rate Arrangement (NRA) with or Negotiated Service Arrangement (NSA) with VerTerra.

52. Upon information and belief, D.B. Group America and its affiliated D.B. Group entities were charging VerTerra in excess of its published tariffs in violation of 46 USC § 40501, 46 USC § 41104(2) and 46 USC 41104(4).

53. Moreover, D.B. Group America, through its affiliated company, D.B. Group India, Pvt Ltd, was applying “surcharges” to the fees it was charging VerTerra Group, when

these surcharges were not applicable and not referenced in its tariff. This action was a violation of 46 CFR § 532(d)(2).

54. Over the past six (6) months VerTerra has repeatedly requested that D.B. Group America provide it with copies of the quotes it allegedly provided with regard to the shipments at issue.

55. While D.B. Group America originally represented it had written approval for all these shipments, VerTerra has no record of receiving quotes or written approvals for each shipment and D.B. Group America refused to produce copies of any such documents despite VerTerra's repeated requests for the same.

56. As a result of charging VerTerra unapproved rates in excess of those published in the applicable tariff in violation of the terms of the Shipping Act, D.B. Group America was illegally and unjustly enriched at VerTerra's expense.

57. Equity and good conscience requires restitution be made by D.B. Group America to VerTerra in the amount to be proven at trial, but not less than \$200,000.00.

THIRD COUNTERCLAIM- ECONOMIC DURESS/ DURESS OF PROPERTY

58. VerTerra and Dwork repeat and reallege the allegations contained in Counterclaim paragraphs 1-57 as if more fully set forth herein.

59. Throughout the Summer of 2018 and through the end of the business relationship between VerTerra and D.B. Group America, D.B. Group America repeatedly threatened to retain freight that it was shipping for VerTerra if VerTerra failed to pay older invoices which bore no relation to the freight at issue.

60. The freight at issue was dinnerware manufactured from palm leaves in VerTerra's manufacturing facilities in Asia. These were proprietary products which VerTerra was offering

for sale in the U.S. VerTerra had no other means to obtain replacement goods to sell to its U.S. customer should such freight be retained by D.B. Group America.

61. There was no provision in any agreement, written or oral, between VerTerra and D.B. Group America which would allow for such retention of VerTerra's freight.

62. D.B. Group America's threats to retain VerTerra's freight on the basis of invoices unrelated to the freight amounted to unlawful threats of conversion.

63. VerTerra owned the freight at issue. D.B. Group America had no legal right to the same.

64. D.B. Group America engaged in this pattern of unlawful activity to force VerTerra to continue to do business with it, such that when D.B. Group America retained its freight, VerTerra had no means of replacing the freight at issue.

65. From the time the threats began in the late Summer of 2018 until the last payment made to D.B. Group America, VerTerra paid D.B. Group America an amount to be proven at trial, but no less than \$75,000.00, as a direct result of the unlawful duress exerted by D.B. Group America on VerTerra.

FOURTH COUNTERCLAIM- BREACH OF FIDUCIARY DUTY

66. VerTerra and Dwork repeat and reallege the allegations contained in Counterclaim paragraphs 1-65 as if more fully set forth herein.

67. Upon information and belief, at all times herein, D.B. Group America was a licensed Ocean Transport Intermediary as defined in 46 CFR §515 and was acting as a Freight Forwarder with regard to the services it was providing to VerTerra.

68. As a Freight Forwarder, D.B. Group America was at all times herein, acting as the agent of VerTerra.

69. As the agent of VerTerra, D.B. Group America owed VerTerra a fiduciary duty of loyalty.

70. As an agent and fiduciary to VerTerra, D.B. Group America had a duty to act in the best interests of its principal, VerTerra.

71. As an agent and fiduciary to VerTerra, D.B. Group America had a duty to find qualified carriers who would provide the best rate for VerTerra's shipments.

72. Instead of selecting carriers who would provide the best rate for VerTerra's shipments, D.B. Group America selected carriers with whom it had relationships with, often other D.B. Group entities such as D.B. Group, India, Pvt. Ltd. and D.B. Group China, Ltd., who charged rates well above market rate.

73. D.B. Group America breached its duty to VerTerra by acting in its own interest and in the interest of the larger D.B. Group S.P.A, by using other D.B. Group entities to ship VerTerra's goods at a higher rate in order to benefit other D.B. Group entities and itself.

74. D.B. Group America breached its duty to VerTerra by acting in its own interest and in the interest of other D.B. Group entities by using other D.B. Group entities to ship VerTerra's goods even though it knew or should have known the other D.B. Group entities did not have valid tariffs or negotiated rate agreements in place with VerTerra.

75. D.B. Group America breached its duty to VerTerra by acting in its own interest and failing to provide requested information and documents regarding the shipment at issue in violation of 46 CFR 515.32 (c) and (d) despite VerTerra's request for the same from the fall of 2018 to present.

76. As a result of D.B. Group America's repeated breaches of its fiduciary duty owed to VerTerra, VerTerra has been injured in the amount to be proven at trial, but not less than the

amount invoiced by D.B. Group America minus the prevailing market rates for the shipments at issue from June of 2016 to December 2018.

FIFTH COUNTERCLAIM- FAITHLESS SERVANT/EQUITABLE FORFITURE

77. VerTerra and Dwork repeat and reallege the allegations contained in Counterclaim paragraphs 1-76 as if more fully set forth herein.

78. As a Freight Forwarder, D.B. Group America, was at all times herein, acting as the agent of VerTerra.

79. As the agent of VerTerra, D.B. Group America owed VerTerra fiduciary duty of loyalty.

80. As an agent and fiduciary to VerTerra, D.B. Group America had a duty to act in the best interests of its principal, VerTerra.

81. From the outset of its agency relationship with VerTerra in May of 2016, D.B. Group America repeatedly breached its fiduciary duty and duty of loyalty to VerTerra by placing its own interest and the interest of its related entities above that of VerTerra.

82. D.B. Group America's repeated breaches of its fiduciary duty owed to VerTerra from June of 2016 through December of 2018, subjects D.B. Group America to the faithless service doctrine and as such, VerTerra is entitled to the disgorgement of all compensation paid to D.B. Group America during the period of its disloyalty.

PRAYER FOR RELIEF

WHEREFORE, Defendants demand judgment against Plaintiff as follows:

(a) On the First Counterclaim, for rescission of the credit application and incorporated personal guarantee due to fraud;

(b) On the second Counterclaim, Awarding the Defendants' an amount to be proven at trial, but not less than \$200,000.00 ;

(c) On the Third Counterclaim, Awarding the Defendants' an amount to be proven at trial, but not less than \$75,000.00 ;

(d) On the Fourth Counterclaim, Awarding the Defendants' an amount to be proven at trial, but not less than \$200,000.00;

(e) On the Fifth Counterclaim, ordering D.B. Group America, LTD., to disgorge all compensation paid to it by VerTerra during its period of disloyalty in an amount to be determined at trial;

(f) Awarding Defendants' the costs and disbursements of this action; and

(g) Such other and further relief as the Court may deem just, proper and equitable.

Dated: New York, New York
June 28, 2019

DEFENDANTS/COUNTERCLAIM PLAINTIFFS
VERTERRA LTD AND MICHAEL DWORK

By: 

Christopher J. Sovak

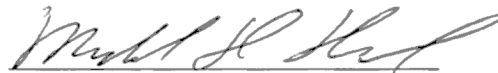
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New York, New York 10016
(212) 949-4700
csovak@bushellsovak.com

VERIFICATION

STATE OF NEW YORK)
) ss.:
COUNTY OF NEW YORK)

I, the undersigned, being duly sworn, depose and say:

I, Michael Dwork, a named Defendant and President of Defendant VerTerra Ltd in the within action, have read the Verified Answer and Counterclaims and know the contents thereof. The same is true to my own knowledge, except as to matters therein stated to be alleged on information and belief, and as to those matters I believe them to be true.



Sworn to before me this 28 day of June 2019.


NOTARY PUBLIC

NAINESH S. BODAWALA
Notary Public, State of New York
Registration #01BO6375447
Qualified In New York County
Commission Expires May 21, 2022